DECODING CUSTOMER VALUE

A SQL-Driven Retention Strategy

Retention Playbook

Part A: Promotional Sunset Plan

The Problem with the Current Promotional Strategy

46.1% of the brand's most loyal customers (Definition A: Weekly/Bi-Weekly/Fortnightly buyers with more than 30 previous purchases) are using discounts or promo codes. This is not a sign of a broken strategy, but it is a warning signal.

These customers have already demonstrated high purchase frequency and long tenure. They do not need a discount to buy. Continuing to give them one erodes margin without adding any retention benefit.

The goal of the sunset plan is not to eliminate promotions entirely. It is to stop giving discounts to customers who would have bought anyway, and redirect that promotional spend toward acquiring new customers or re-engaging lapsed ones.

Target Segment for Sunset

Attribute	Criteria
Loyalty Definition	Definition A: Loyal (Frequency = Weekly, Bi-Weekly, or Fortnightly AND Previous Purchases > 30)
Promo Behavior	Promo_Dependent = Yes (used Discount or Promo Code on last recorded purchase)
Segment Label	Loyal-Promo Dependent
Estimated Size	Approximately 299 customers (46.1% of 648 Loyal)
Current Avg Spend	$59.64 per order

Why This Segment Specifically

These customers already exhibit the two strongest behavioral signals of retention: high purchase frequency and high purchase count. Their buying behavior predates and exists independent of any single promotion. The discount they are receiving is therefore a pure margin cost with no incremental retention value.

Removing it carries meaningful upside (margin recovery) with low churn risk because the underlying loyalty already exists. The trade-off to acknowledge: a subset of this group may have become habituated to discounts and could reduce purchase frequency if promotions are removed. This is why the sunset is phased and measured, not immediate.

Three-Phase Rollout Timeline

Phase	Timeline	Action	Trigger to Proceed
Phase 1: Test	Month 1-2	Remove promo eligibility for the top 20% of Loyal-Promo Dependent customers (those with Previous Purchases > 40). This is the safest cohort because their tenure is longest and their habit strength is highest.	Repeat purchase rate in this cohort stays above 60% without discount.
Phase 2: Expand	Month 3-4	Extend the sunset to the remaining Loyal-Promo Dependent customers (Previous Purchases 30-40). Offer a non-discount retention touchpoint instead: free express shipping, early access to new collections, or a loyalty acknowledgment.	No statistically significant drop in order frequency vs. Phase 1 baseline.
Phase 3: Redirect	Month 5-6	Reallocate the freed-up promotional budget toward new customer acquisition targeting the Ideal Customer Profile, and toward re-engaging Standard customers who have high Previous Purchases but low frequency.	Margin per order in the Loyal segment increases by at least 8%.

Metrics to Track

- **Primary metric:** Repeat purchase rate without discount in the sunset cohort, measured at 30, 60, and 90 days after removing promo eligibility.
- **Secondary metric:** Average purchase amount per order in the sunset cohort, to detect any compensatory downgrade in basket size.
- **Guard metric:** Churn rate (defined as zero purchases in a 90-day window) in the sunset cohort vs. the non-sunset Loyal group as a control.

What You Risk

The primary risk is that a portion of the Loyal-Promo Dependent segment has a stronger discount habit than their tenure suggests. If 15-20% of the Phase 1 cohort reduces purchase frequency after the sunset, the margin gains from removing discounts could be partially offset by lost revenue volume. This is why Phase 1 is limited to the highest-tenure customers, who have the deepest brand relationship and the lowest expected churn sensitivity to price changes.

Success State: If the Phase 1 cohort shows a repeat purchase rate below the 60% threshold after promo removal, pause the rollout and investigate before proceeding to Phase 2.

Part B: Ideal Customer Profile

How This Profile Was Built

The Ideal Customer Profile is derived from customers who simultaneously satisfy both loyalty definitions: Definition A (high frequency and tenure) AND Definition C (Organic Advocate: Previous Purchases > 25, Review Rating >= 4.0, and no promo dependency). This intersection represents the brand's highest-quality customers, those who buy often, are satisfied, and do not require discounts to do so.

Profile: The Organic High-Value Customer

Attribute	Value	Source
Age Range	37 to 52 years old (avg 44-45 across top cohorts)	Query 5 output
Primary Category	Clothing (dominant across all top rows)	Query 5 output
Secondary Category	Accessories (Credit Card + Next Day Air cohort)	Query 5 output
Preferred Payment	Credit Card (highest spend cohort: $75.67 avg)	Query 5 output
Preferred Shipping	Next Day Air or Express (signals urgency and willingness to pay)	Query 5 output

Avg Spend Per Order	$59.60 to $75.67 depending on payment + shipping combo	Query 5 output
Avg Review Rating	4.13 to 4.73 (all cohorts above 4.0 threshold)	Query 5 output
Promo Dependency	None (by definition, Def C requires Promo_Dependent = No)	Loyalty Definition C
Purchase History	More than 25 previous purchases	Loyalty Definition C

Profile in Plain Language (for Marketing Use)

The brand's most valuable customer is a 37 to 52 year old who primarily shops Clothing and Accessories. They pay with a Credit Card, consistently choose expedited shipping (Next Day Air or Express), and have never needed a promo code to complete a purchase. They leave high review ratings above 4.0 and have a long purchase history with the brand.

Their average order value is between $60 and $76, with the highest-value cohort being Credit Card + Next Day Air + Clothing buyers at $75.67 average spend. This customer is not price-sensitive in the traditional sense. They choose speed and quality over discount. They are likely a mid-career professional with disposable income who values the convenience of a direct, reliable D2C relationship. They are the segment least likely to be poached by a competitor running a sale.

How to Acquire More of Them

- **Target** paid acquisition toward the 37-52 age bracket on channels where this demographic is active (Meta, Pinterest, email newsletters in fashion/lifestyle).
- **Lead** with Clothing and Accessories as the primary acquisition categories, as these are the entry points for this profile.
- **Incentivize** with Express or Next Day Air shipping as a welcome offer rather than a discount: this attracts the right customer type while avoiding the discount-habit problem.
- **Filter** lookalike audiences using Review Rating >= 4.0: customers who leave high ratings early in their journey are disproportionately likely to become Organic Advocates.
- **Do not lead** with promo codes in acquisition campaigns targeting this profile. The data shows this customer buys without them. A promo code in the first touchpoint risks attracting a discount-driven customer who superficially resembles the ICP but has different long-term economics.

What You Risk

Narrowing acquisition focus toward this profile means deprioritizing younger customers (the 25-37 cohort visible in the Bank Transfer + Store Pickup row at avg age 25.7). That cohort may represent the brand's future base even if their current spend is lower. The recommendation is not to exclude them but to treat them as a separate acquisition stream with different messaging and longer expected payback periods.